NCE EXAM PREP

Practice Exam 18

Domain 6

Legal & Ethical Compliance

34 Practice Questions | 45 minutes

A, B, C answer choices

Answer Key and Explanations included

> **Instructions.** Select the single best answer for each question. Record your answers separately. This domain practice set is drawn from Full-Length Practice Exam 03. Use the suggested 45-minute practice timer. Do not consult Part B until you complete Part A. These domain timings are editorial practice allocations, not official NBCC section limits.

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PART A — QUESTIONS

Choose one answer (A, B, or C) per question.

Question 1

> A client misses an appointment. The insurer does not reimburse missed sessions, while the signed financial agreement permits a reasonable client cancellation fee when notice is insufficient.

How should the practice handle the missed appointment?

A) Submit a therapy-service claim because the counselor reserved the clinical hour

B) Bill both the insurer and the client so the practice can recover the full scheduled fee

C) Apply the disclosed cancellation policy to the client without billing the insurer for a service not delivered

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Question 2

> A clinic computer displays a ransom note, and users can no longer open the electronic health record. The incident plan directs staff to isolate affected systems, preserve evidence, notify the security team, and activate approved downtime procedures.

What should the counselor do?

A) Follow the incident and downtime procedures immediately without attempting an unauthorized repair or payment

B) Keep entering information into the affected computer so delayed notes do not accumulate

C) Pay the requested amount personally because rapid access is more important than incident review

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Question 3

> A client requests an accounting of disclosures. The applicable rule and clinic procedure require a response within 60 days and identify which nonroutine disclosures must be included and which treatment, payment, and operations disclosures are excluded.

What should the counselor or clinic do?

A) Route the request through the required process and provide the accounting within the deadline

B) Give the client the treatment record because it is equivalent to an accounting of disclosures

C) Refuse the request because disclosure logs are internal compliance documents only

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Question 4

A client previously gave a spouse proxy access to the client portal. During a separation, the client revokes that permission and reports concern that the spouse may read new counseling messages. The system can end proxy access immediately.

What should the clinic do?

A) Wait until the next monthly access review so the change follows the normal schedule

B) Revoke proxy access promptly, document the change, and review any related privacy or safety concern

C) Keep access active until the spouse also agrees to the revocation

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Question 5

A supervisor discovers that a supervisee documented and billed three counseling sessions that did not occur. Agency policy requires preservation of records, immediate removal of billing access, investigation, correction, and reports to affected parties or regulators when required.

What should the supervisor do?

A) Ask the supervisee to repay the claims privately and keep the matter out of the personnel file

B) Wait for a payer audit because supervisors are not responsible for a supervisee's billing entries

C) Activate the required corrective process, protect clients and records, and make any mandated reports

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Question 6

A residential program offers a private practitioner $100 for every client referred and asks the counselor not to mention the payment. Several other programs provide comparable services without referral payments.

What should the counselor do?

A) Accept the payment if each referred client ultimately enrolls in the program

B) Split the payment with the client so both parties benefit from the referral

C) Decline the undisclosed referral fee and base recommendations on client needs and service quality

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Question 7

To save time, a counselor copies last month's progress note into a current encounter. Before signing, the counselor sees that the copied text incorrectly states the client denied substance use and attended with a spouse.

What should the counselor do?

A) Sign the note because copied language is acceptable when the treatment goal is unchanged

B) Delete the entire encounter and document nothing because the draft contains errors

C) Replace the inaccurate text with current, individualized documentation and review whether similar errors entered prior notes

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Question 8

A counselor is about to conduct telehealth from a private home office and notices that a voice-activated smart speaker is on and configured to retain audio snippets in a consumer account. The device is not part of the approved telehealth setup.

What should the counselor do?

A) Continue because consumer smart speakers do not create clinical records

B) Tell the client about the device and treat continued participation as consent to its presence

C) Disable or remove the device and verify a private environment before beginning the session

Question 9

A former supervisee asks a counselor to certify 100 supervision hours for licensure. The counselor's logs support only 80 hours; the remaining claimed hours were weeks when no supervision meeting occurred.

What should the counselor do?

A) Certify only verifiable hours and address the discrepancy through the required training or board process

B) Sign for all 100 hours because the supervisee performed clinical work during the disputed weeks

C) Backdate additional supervision notes if the supervisee can accurately recall topics they would have discussed

Question 10

A principal asks a school counselor for detailed counseling disclosures to help decide whether to suspend a student. No safety or legal exception applies, and school policy permits general educational recommendations but not confidential session content without valid authorization.

How should the school counselor respond?

A) Provide the details because discipline decisions are part of the school's educational mission

B) Ask the student to accept disclosure as a condition of remaining enrolled

C) Protect the counseling content, clarify the counselor's role, and provide only information permitted by policy

Question 11

A board requires 30 continuing education hours for renewal and permits no more than 10 self-study hours. A counselor has completed 20 self-study hours and 10 qualifying live hours but has not yet submitted the renewal attestation.

What should the counselor do?

A) Count all 30 hours because the overall educational total is sufficient

B) Submit the attestation and promise to replace excess self-study hours after renewal

C) Complete 10 additional qualifying non-self-study hours before attesting to compliance

Question 12

A community organization offers to pay a client's counseling fees. Its director wants progress updates in return. The client agrees to payment but does not authorize any clinical disclosure to the organization.

What should the counselor do?

A) Provide brief updates because anyone paying for treatment becomes part of the care team

B) Refuse the payment because third parties can never fund counseling

C) Clarify the financial arrangement and protect clinical information unless the client validly authorizes disclosure

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Question 13

At intake, a couple agreed that the counselor would not promise to keep relationship-relevant information secret from the other partner and would address such information in conjoint work. One partner later emails the counselor about an affair and demands permanent secrecy.

What is the counselor's most appropriate response?

A) Revisit the agreement, help the partner plan prompt disclosure, and avoid continuing conjoint work while colluding with the secret

B) Keep the affair confidential because any message sent individually creates a separate individual-counseling relationship

C) Forward the email immediately to the other partner without first addressing the disclosure process with the sender

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Question 14

A professional holds only a state school-counselor credential. State law states that this credential authorizes services within school employment but does not authorize independent clinical mental health practice. The professional plans to open an evening psychotherapy office.

What is the appropriate course of action?

A) Open the office if clients are told that the professional works as a school counselor during the day

B) Refrain from independent clinical practice unless the required clinical license is obtained

C) Use the title wellness consultant while providing the same psychotherapy services

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Question 15

An applicable ethics code prohibits sexual or romantic relationships with former clients for five years after the last professional contact and requires careful assessment and documentation of potential exploitation after that period. Which conduct is appropriate?

A) Begin a relationship during the five-year period if the former client initiates it

B) Observe the prohibition and, after it ends, retain the burden of showing that no exploitation or harm is likely

C) Treat the five-year mark as automatic approval for a relationship without further evaluation

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Question 16

> An individual counseling client asks a spouse to attend all future sessions and wants the work to become ongoing couples counseling. The existing consent identifies only the individual as the client and does not address joint records, confidentiality, or the counselor's new role.

What should the counselor do before changing the service?

A) Clarify the clients and roles, assess competence and conflicts, and obtain informed agreement about records and confidentiality

B) Add the spouse without revising consent because the original client requested the change

C) Treat the spouse as a visitor so the counselor can avoid new documentation duties

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Question 17

> A counselor receives a realistic video message that appears to show the clinic director ordering an immediate export of the full client roster to a new email address. Clinic policy requires independent confirmation through a known channel before any unusual bulk export.

What should the counselor do?

A) Export the roster because a video image is stronger authentication than an email signature

B) Send a sample of ten client records first to determine whether the address is legitimate

C) Withhold the export and verify the request with the director through the approved independent channel

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Question 18

> A counselor loses a clinic laptop while traveling. The laptop is encrypted and supports remote wipe, but an active portal session may still be open. Security policy requires immediate reporting, session revocation, remote wipe, and documented risk assessment.

What should the counselor do?

A) Report the loss immediately and activate the required containment and assessment steps

B) Wait 24 hours for the laptop to be returned because encryption eliminates all risk

C) Change only the counselor's email password because the clinical files are encrypted

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Question 19

If an applicable access rule requires a readily producible electronic copy when a client requests one, which response is most appropriate?

A) Provide the copy through a secure available method and charge only any permitted reasonable cost

B) Require paper copies at a higher fee because paper is easier for the practice to track

C) Refuse electronic access unless the client purchases the same record software used by the practice

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Question 20

> A client revokes a written authorization that allowed monthly summaries to be sent to a disability case manager. One summary was lawfully sent before the revocation. Clinic policy makes revocation effective for future disclosures when received and documented.

How should the counselor respond?

A) Ask the case manager to destroy the earlier summary because revocation automatically cancels past disclosures

B) Document the revocation, stop future summaries, and explain that the prior authorized disclosure cannot be undone

C) Continue sending summaries until the authorization's original expiration date because it was valid when signed

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Question 21

> A practice receives formal notice of a malpractice claim involving a former client. The practice's legal-hold procedure requires preservation of potentially relevant records, but those records are scheduled for routine destruction next week.

What should the records custodian do?

A) Follow the normal schedule because changing it after a claim may appear suspicious

B) Suspend destruction of the relevant records, preserve them securely, and document the legal hold

C) Give the records to the former client so the practice no longer has a retention obligation

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Question 22

> A solo practitioner is developing a plan for sudden incapacity or death. The practice holds active client records, future appointments, and advance payments, but no one else currently has authority to manage them.

Which plan is most appropriate?

A) Designate a qualified records custodian and create secure procedures for notice, continuity, access, and financial obligations

B) Give every client the practitioner's personal passwords so clients can retrieve their own files if needed

C) Leave instructions to destroy all records immediately so no successor assumes responsibility

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Question 23

Which approach best supports compliant text-based communication with counseling clients?

A) Use ordinary personal texting whenever a client states that convenience is the highest priority

B) Use an approved secure channel, establish response and emergency expectations, and verify intended recipients

C) Copy every text exchange to all treatment-team members so no message is overlooked

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Question 24

A competent adult client's sibling presents a power of attorney limited to banking and property matters. The sibling demands authority to consent to counseling and receive clinical updates, but the document grants no health-care decision-making power.

What should the counselor do?

A) Treat the sibling as the client's clinical representative because any power of attorney covers health decisions

B) Verify the document's limits and obtain treatment and disclosure decisions from the competent client

C) Release updates to the sibling but ask the client to consent separately to treatment

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Question 25

A counselor is in network with a health plan whose contract prohibits collecting more than the plan-assigned copayment, deductible, and coinsurance. The counselor wants to charge clients an additional $30 per covered session to offset the contracted rate.

What should the counselor do?

A) Follow the network agreement, correct any excess charges, and explain client responsibility accurately

B) Collect the extra amount if clients sign a separate private-pay agreement

C) Label the charge an administrative fee so it falls outside the network contract

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Question 26

Which statement best describes confidentiality when a client reports a completed illegal act that presents no ongoing threat and no consent, legal compulsion, or other exception applies?

A) Confirm only that the person is a client because that fact is less sensitive than session content

B) Maintain confidentiality and require a valid basis before disclosing any protected information

C) Describe the act without the client's name because police already know whom they are investigating

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Question 27

A telehealth consent form is returned with the client's typed name, but metadata show that it came from the partner's email account. The partner admits completing the form for the competent adult client. Practice policy requires identity verification and the client's own valid consent.

What should the counselor do?

A) Verify the client's identity and obtain the client's valid consent before beginning telehealth services

B) Accept the form because a partner may sign any document that benefits the client

C) Begin treatment and ask the client to ratify the form only if a dispute later occurs

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Question 28

A counselor begins a prescribed medication that causes marked slowed thinking and has already led to two serious documentation errors. The counselor's physician expects the effect to continue while the dosage is adjusted.

What is the counselor's most professionally accountable response?

A) Continue the full caseload because a valid prescription rules out professional impairment

B) Limit or suspend affected duties, arrange client coverage, and resume only when competent performance is restored

C) Ask clients to overlook mistakes temporarily because stopping services could inconvenience them

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Question 29

A counselor grants larger fee reductions to clients the counselor personally likes and smaller reductions to similarly situated clients. The practice has no written sliding-fee criteria.

What should the counselor do?

A) Continue using personal judgment because flexibility is the purpose of a sliding fee

B) Establish transparent, relevant criteria and apply and document them consistently

C) Eliminate reduced fees for all current clients without notice to avoid unequal treatment

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Question 30

A secure messaging agreement states that the counselor reviews portal messages on business days, responds within two business days, and does not provide emergency coverage through the portal. A client sends a nonurgent scheduling question late Friday evening.

What should the counselor do?

A) Respond within the disclosed service window and reinforce the messaging expectations if needed

B) Treat the message as an emergency because every after-hours client contact requires immediate action

C) Close the portal account because the client sent a message outside business hours

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Question 31

A licensed counselor wants to volunteer clinical services at a disaster shelter. The counselor's employer policy covers only work performed for the employer, and the shelter requires volunteers to confirm independent liability coverage and compliance with local scope rules.

What should the counselor do before providing counseling?

A) Rely on the active license because licensure automatically supplies liability coverage

B) Begin immediately and purchase coverage only if a client later files a complaint

C) Verify appropriate coverage, authorization, and scope compliance for the volunteer setting

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Question 32

A counselor observes a colleague smelling strongly of alcohol, speaking unclearly, and preparing to conduct a group session. Agency policy requires immediate supervisor notification and removal from client contact when impairment may create a safety risk.

What should the counselor do?

A) Use the agency's immediate safety process, report objective observations, and help prevent impaired client contact

B) Wait for group members to complain so the counselor has evidence of actual harm

C) Keep the concern private because reporting a colleague always violates professional loyalty

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Question 33

A counselor has a telehealth appointment during an airport layover. The only available seating is public, and the network is open Wi-Fi. Practice policy requires a private setting and an approved secure connection for telehealth.

What should the counselor do?

A) Proceed with headphones because they prevent other people from hearing both sides

B) Proceed without video so nearby travelers cannot identify the client

C) Move to a compliant private setup or reschedule the appointment

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Question 34

During migration to a new electronic health record, sample testing shows missing consent forms and altered service dates. Management wants to shut down the old system that evening to avoid another licensing fee.

What should the records lead recommend?

A) Decommission the old system because most clinical notes transferred successfully

B) Halt decommissioning, reconcile the discrepancies, and verify record completeness and integrity first

C) Ask counselors to recreate missing information from memory after the old system is erased

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PART B — ANSWER KEY AND EXPLANATIONS

Answers match the numbered items in Part A.

Question 1 — Correct: C

Correct Answer: Apply the disclosed cancellation policy to the client without billing the insurer for a service not delivered

Explanation: The agreement permits a client fee, while the insurer expressly does not reimburse missed sessions. Submitting a therapy-service claim would falsely represent that counseling occurred, and billing both sources would compound the error.

Question 2 — Correct: A

Correct Answer: Follow the incident and downtime procedures immediately without attempting an unauthorized repair or payment

Explanation: Ransomware requires containment, evidence preservation, expert response, and continuity procedures. Continued use or personal payment could worsen the compromise, destroy evidence, or bypass organizational and legal obligations.

Question 3 — Correct: A

Correct Answer: Route the request through the required process and provide the accounting within the deadline

Explanation: The scenario gives the client a defined right and supplies the response period and scope. A treatment record describes care but does not substitute for a list of reportable disclosures.

Question 4 — Correct: B

Correct Answer: Revoke proxy access promptly, document the change, and review any related privacy or safety concern

Explanation: The client who granted access has withdrawn it, and the system can implement that decision immediately. Delaying or requiring the spouse's agreement would expose new information contrary to the client's direction and could intensify a safety concern.

Question 5 — Correct: C

Correct Answer: Activate the required corrective process, protect clients and records, and make any mandated reports

Explanation: The supervisor has discovered fabricated services and billing, and policy specifies immediate containment and investigation. Private repayment or passive waiting would not correct records, address client impact, or fulfill possible reporting duties.

Question 6 — Correct: C

Correct Answer: Decline the undisclosed referral fee and base recommendations on client needs and service quality

Explanation: A hidden per-client payment creates a financial conflict that can distort referral judgment and client trust. Dividing the payment does not cure the undisclosed incentive; recommendations should rest on fit, quality, and client welfare.

Question 7 — Correct: C

Correct Answer: Replace the inaccurate text with current, individualized documentation and review whether similar errors entered prior notes

Explanation: Copy-forward tools do not relieve the counselor of responsibility for an accurate current record. Correcting the draft before signature and checking for earlier propagation protects clinical continuity and billing integrity.

Question 8 — Correct: C

Correct Answer: Disable or remove the device and verify a private environment before beginning the session

Explanation: An unapproved listening device creates a foreseeable confidentiality risk in the counselor's environment. General notice to the client would not substitute for the counselor's duty to establish a compliant private setting.

Question 9 — Correct: A

Correct Answer: Certify only verifiable hours and address the discrepancy through the required training or board process

Explanation: Licensure verification must reflect supervision that actually occurred and can be supported by records. Clinical work performed without a supervision meeting does not become a supervision hour, and backdating notes would create a second misrepresentation.

Question 10 — Correct: C

Correct Answer: Protect the counseling content, clarify the counselor's role, and provide only information permitted by policy

Explanation: The principal's disciplinary purpose does not create an exception in the supplied facts. The counselor can clarify the role and offer permitted general information without turning confidential counseling content into disciplinary evidence.

Question 11 — Correct: C

Correct Answer: Complete 10 additional qualifying non-self-study hours before attesting to compliance

Explanation: Only 10 of the 20 self-study hours may count, so the counselor currently has 20 qualifying hours rather than 30. Renewal attestation must be accurate at submission, not based on a promise to cure the shortage later.

Question 12 — Correct: C

Correct Answer: Clarify the financial arrangement and protect clinical information unless the client validly authorizes disclosure

Explanation: Payment by an outside organization does not automatically make its director part of the treatment team. The counselor may establish a clear funding agreement while keeping clinical information confidential unless the client authorizes a defined release.

Question 13 — Correct: A

Correct Answer: Revisit the agreement, help the partner plan prompt disclosure, and avoid continuing conjoint work while colluding with the secret

Explanation: The couple's informed agreement expressly rejects permanent individual secrecy for relationship-relevant information. The counselor should not secretly align with one partner or abruptly disclose without first using the agreed process to address the information and its effect on conjoint work.

Question 14 — Correct: B

Correct Answer: Refrain from independent clinical practice unless the required clinical license is obtained

Explanation: The state has expressly limited the school credential to school employment and excluded independent clinical practice. Changing the service title does not change the nature of psychotherapy or expand legal authority.

Question 15 — Correct: B

Correct Answer: Observe the prohibition and, after it ends, retain the burden of showing that no exploitation or harm is likely

Explanation: Client initiation does not override the stated five-year prohibition. Passage of five years removes the categorical bar but does not create automatic approval; the counselor must still evaluate and document risks of exploitation or harm.

Question 16 — Correct: A

Correct Answer: Clarify the clients and roles, assess competence and conflicts, and obtain informed agreement about records and confidentiality

Explanation: Moving from individual to ongoing couples work changes who the clients are and how information, records, and roles will be handled. The client's request alone does not resolve conflicts or supply informed consent for the spouse.

Question 17 — Correct: C

Correct Answer: Withhold the export and verify the request with the director through the approved independent channel

Explanation: Realistic video can be fabricated or used in a compromised account, especially when the request is unusual and seeks bulk data. Independent confirmation through a known channel follows policy and prevents disclosure based on appearance alone.

Question 18 — Correct: A

Correct Answer: Report the loss immediately and activate the required containment and assessment steps

Explanation: Encryption reduces risk but does not address the potentially active portal session or eliminate incident duties. Prompt session revocation, remote wipe, reporting, and assessment provide layered containment and an auditable response.

Question 19 — Correct: A

Correct Answer: Provide the copy through a secure available method and charge only any permitted reasonable cost

Explanation: The supplied rule makes a readily producible electronic format available to the requesting client. Requiring expensive paper or proprietary software would create an unsupported access barrier.

Question 20 — Correct: B

Correct Answer: Document the revocation, stop future summaries, and explain that the prior authorized disclosure cannot be undone

Explanation: Under the stated policy, revocation controls future disclosures once received and documented. It does not retroactively invalidate a disclosure that was lawful when made, and the original expiration date no longer authorizes continued summaries.

Question 21 — Correct: B

Correct Answer: Suspend destruction of the relevant records, preserve them securely, and document the legal hold

Explanation: A legal hold supersedes routine destruction for records potentially relevant to the claim. Secure preservation and documentation protect evidence integrity; transferring the records to the client would not end the practice's obligation.

Question 22 — Correct: A

Correct Answer: Designate a qualified records custodian and create secure procedures for notice, continuity, access, and financial obligations

Explanation: A professional will or continuity plan should authorize a qualified person to protect records, communicate with clients, manage appointments, and address unearned funds. Sharing personal passwords or ordering immediate destruction would undermine confidentiality, access, and retention duties.

Question 23 — Correct: B

Correct Answer: Use an approved secure channel, establish response and emergency expectations, and verify intended recipients

Explanation: Secure technology alone is not sufficient; clients also need clear expectations about monitoring, response time, and emergencies. Personal texting and broad copying create avoidable privacy and boundary risks.

Question 24 — Correct: B

Correct Answer: Verify the document's limits and obtain treatment and disclosure decisions from the competent client

Explanation: The document grants authority only over finances and property, not health-care consent or confidentiality. Because the client is competent, the client retains control of treatment and disclosure decisions.

Question 25 — Correct: A

Correct Answer: Follow the network agreement, correct any excess charges, and explain client responsibility accurately

Explanation: The contract defines the amounts the counselor may collect for covered services. A side agreement or a relabeled fee cannot be used to evade the plan's balance-billing restriction.

Question 26 — Correct: B

Correct Answer: Maintain confidentiality and require a valid basis before disclosing any protected information

Explanation: A completed unlawful act without an ongoing threat does not create a confidentiality exception under the stated facts. Even confirming client status can reveal protected information, so an informal police inquiry is not enough.

Question 27 — Correct: A

Correct Answer: Verify the client's identity and obtain the client's valid consent before beginning telehealth services

Explanation: A competent adult's partner cannot supply consent merely because the service may be beneficial. Identity verification and the client's own valid agreement are required before relying on the electronic form.

Question 28 — Correct: B

Correct Answer: Limit or suspend affected duties, arrange client coverage, and resume only when competent performance is restored

Explanation: The documented cognitive effects are already impairing professional performance, regardless of the medication's lawful prescription. Protecting clients requires limiting affected work and arranging continuity until competence is restored.

Question 29 — Correct: B

Correct Answer: Establish transparent, relevant criteria and apply and document them consistently

Explanation: A sliding-fee program can allow flexibility without basing financial access on personal preference. Written, relevant criteria and consistent documentation reduce unfair treatment while preserving reduced-fee services.

Question 30 — Correct: A

Correct Answer: Respond within the disclosed service window and reinforce the messaging expectations if needed

Explanation: The message is nonurgent and falls within the portal terms that the client received. An after-hours timestamp does not transform it into an emergency or justify removing access; the counselor should follow the stated response window.

Question 31 — Correct: C

Correct Answer: Verify appropriate coverage, authorization, and scope compliance for the volunteer setting

Explanation: A license establishes professional authority only within applicable scope and does not itself provide insurance for every setting. The counselor should confirm both the shelter's requirements and independent coverage before beginning clinical work.

Question 32 — Correct: A

Correct Answer: Use the agency's immediate safety process, report objective observations, and help prevent impaired client contact

Explanation: The observed signs and imminent group session create the safety risk described by agency policy. Waiting for actual harm would leave clients exposed, while a factual report avoids speculation about the colleague's diagnosis.

Question 33 — Correct: C

Correct Answer: Move to a compliant private setup or reschedule the appointment

Explanation: Both the public setting and open network fail the practice's stated safeguards. Headphones or audio-only communication cannot protect what the counselor says, the screen, or the network transmission.

Question 34 — Correct: B

Correct Answer: Halt decommissioning, reconcile the discrepancies, and verify record completeness and integrity first

Explanation: Missing forms and changed dates show that the migration has not preserved reliable records. Deleting the source system before reconciliation could make errors permanent and impair care, access, and compliance.
